WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

ZIMBABWE

Africa

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Harare	Capital and principal commercial and financial centre; home to Sunway City, the leading Special Economic Zone with more than 40 enterprises	Financial services, manufacturing, ICT and business process outsourcing
Great Dyke (Mashonaland West and Midlands)	World-class platinum group metals (PGM) belt; PGM exports rose 74.1% to $1.2 billion in H1 2026	PGMs, chrome, mining services, beneficiation
Gold belts (Midlands, Mashonaland, Matabeleland)	Gold output reached a record 46.7 tonnes in 2025, with around 75% delivered by artisanal and small-scale miners	Gold mining, processing, equipment and mining finance
Lithium districts (Bikita, Masvingo; Arcadia, Goromonzi)	Africa's leading lithium producer; lithium export earnings rose 229.8% in H1 2026 and lithium sulphate plants are being built ahead of the 2027 concentrate export ban	Lithium mining and refining, battery-materials value chain
Bulawayo	Second city and historic industrial hub with Special Economic Zones at Belmont-Donnington-Kelvin-Westondale and Umvumila, and host of the Zimbabwe International Trade Fair	Manufacturing, logistics, agro-processing
Beitbridge and Mutare (Fernhill)	Gateways to South Africa and to Mozambique's port of Beira, each with a Special Economic Zone; one-stop border posts with Mozambique are being established	Logistics, warehousing, cross-border trade
Victoria Falls and Hwange	Tourism capital, home of the US-dollar Victoria Falls Stock Exchange and the Masuwe SEZ; Hwange hosts the main thermal power station and coalfields	Tourism, hospitality, capital markets, energy and coal

INVESTOR ENTRY ROUTES

- Zimbabwe Investment and Development Agency (ZIDA), established under the ZIDA Act (Chapter 14:37), runs the One Stop Investment Services Centre for licensing, immigration, tax and company registration, with a National Investment Single Window being developed with UNCTAD
- ZIDA Act investor protections: fair and equitable treatment, protection against expropriation with fair-market-value compensation, and a statutory right to transfer capital, profits and dividends in freely convertible currency

- Special Economic Zones (including Sunway City, Bulawayo, Fernhill, Masuwe and Beitbridge) offering zero corporate tax for five years then a 15% cap, duty-free capital equipment, 100% foreign ownership and work permits within 72 hours; fees were reduced in 2026
- Victoria Falls Stock Exchange (VFEX), a US-dollar-denominated exchange with market capitalisation of $3.85 billion in March 2026, offering a route for listings, capital raising and portfolio entry
- Multi-currency regime overseen by the Reserve Bank of Zimbabwe: the US dollar and the gold-backed ZiG circulate side by side, exporters retain 70% of foreign-currency proceeds (30% is converted at the market rate), and the move to a single currency is conditions-based with no fixed date
- Public-private partnerships through ZIDA's PPP Unit, and joint ventures with the Mutapa Investment Fund, the state investment vehicle with more than 66 entities and $16.5 billion in assets (subject to sanctions screening)
- Sector routes in beneficiation and energy: lithium concentrate exports are banned from January 2027 in favour of in-country processing, and 2026 regulations allow private firms to bid for 25-year electricity distribution licences in unserved areas

MARKET-ENTRY OBSERVATION

Zimbabwe in October 2026 is one of southern Africa's strongest recovery stories. GDP grew 8.3% in 2025, led by agriculture (+27.9%) and mining (+10.4%), and is projected to grow 5% in 2026. Foreign direct investment rose to $965 million in 2025 from $597 million in 2024, and first-half 2026 inflows were up 126.8% year-on-year. Price stability has been transformed: annual ZiG inflation fell to 2.9% in August 2026, its lowest since 1980, and stood at 4.3% in October, allowing the Reserve Bank to cut its policy rate from 35% to 27.5% since June. Record gold output, surging PGM and lithium exports and higher tobacco volumes lifted foreign-currency receipts 33.7% to $15.9 billion in the first nine months of 2026, while the IMF's first review of a Staff-Monitored Programme found that all quantitative targets had been met.

Zimbabwe's main structural challenge is legacy external debt: around $13 billion of arrears to the World Bank, African Development Bank, European Investment Bank and Paris Club creditors currently limits access to concessional finance, and usable reserves of $1.6 billion (about 1.6 months of import cover) remain modest. The country is addressing this methodically. The Staff-Monitored Programme is building the policy track record needed for arrears clearance and debt resolution, the government has borrowed nothing from the central bank, and the current account is projected to show a $1.38 billion surplus in the third quarter of 2026. The Reserve Bank has tied any move to a single currency to clear conditions, including reserves of three to six months of imports, which supports predictability for US-dollar-based investors. Successful arrears clearance would open the way to multilateral and development-finance lending at scale, giving investors who establish positions now an early-mover advantage.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Targeted US sanctions (Global Magnitsky)	The US ended its Zimbabwe sanctions programme in March 2024 but designated 11 individuals, including the President, First Lady and First Vice-President, and three entities including Sakunda Holdings; US persons may not deal with them or with entities they own 50% or more	Take sanctions counsel and screen ownership of all counterparties, especially in state-linked, fuel and mining transactions; most sectors and counterparties remain fully open
UK and EU measures	The UK regime and the EU arms embargo (renewed in February 2026) restrict military and internal-repression goods; no individuals are currently listed by the EU, and the UK list showed no designated persons in 2026	Apply export-control screening to security and dual-use equipment; commercial investment is otherwise unaffected
External arrears and debt	Around $13 billion of arrears to multilateral and bilateral creditors limits IMF and World Bank lending until cleared	Structure projects with private, offshore or DFI-guaranteed finance; the Staff-Monitored Programme is building the track record for arrears clearance
Currency and foreign-exchange rules	Exporters must convert 30% of proceeds at the market rate and more than 80% of	Contract in US dollars where possible, use the VFEX and standard hedging, and track

Issue	Potential Impact	Possible Mitigation
	transactions remain in US dollars, while the ZiG has stabilised	the Reserve Bank's conditions-based single-currency plan
Power supply	Demand of about 1,900 MW is close to core Hwange and Kariba output of around 1,600 MW, although winter 2026 passed without load-shedding for the first time in nearly two decades	Add captive solar, as private firms have done with about 260 MW; new regulations open opportunities for independent producers and distributors
Policy and regulatory change	Rules on export retention and mineral exports have changed frequently, though cabinet has approved ease-of-doing-business reforms across twelve sectors	Engage ZIDA early, secure licences and incentives in writing, and plan for beneficiation requirements such as the 2027 lithium rule
Climate and agricultural cycles	The 2024 El Niño drought cut growth to 1.7%, and the IMF flags weather as a key risk	The government is saving surplus revenue as a 2027 food-security buffer; irrigation and agri-technology are growing opportunities

INVESTOR RISK NOTE

Zimbabwe's risk profile is improving quickly: growth of 8.3% in 2025, single-digit inflation, a stable ZiG, rising foreign-currency receipts and a successful first IMF programme review all point to stronger macroeconomic management, and a July 2026 constitutional amendment extending the presidential term to 2030 signals policy continuity. Investors should nonetheless treat the legal position clearly. The US no longer has a country-wide Zimbabwe sanctions programme, but its Global Magnitsky designations of the President, First Lady, First Vice-President, other senior figures and three companies remain a material compliance consideration: US persons, and non-US firms whose transactions pass through the US financial system, must avoid dealings with designated persons and entities they own or control. The UK and EU now limit their measures to restrictions on arms and related goods. In practice this means taking sanctions advice, carrying out thorough ownership checks on partners in state-linked and resource sectors, and documenting due diligence, after which most of the economy is open to investment. With arrears clearance in prospect and governance reforms that are relevant to future sanctions normalisation, carefully structured early entry offers a meaningful advantage.

MARKET ACCESS

Zimbabwe is a member of the Southern African Development Community (SADC), the Common Market for Eastern and Southern Africa (COMESA) and the African Continental Free Trade Area, and is a WTO member. It trades with Europe under the interim Economic Partnership Agreement between the EU and Eastern and Southern African states, and with the UK under its successor agreement; UK–Zimbabwe trade was £290 million in the year to March 2026, led by tobacco. Exports are projected at $12.5 billion in 2026, dominated by gold, tobacco, nickel, PGMs and lithium, with the UAE, South Africa and China taking almost 90% of exports in December 2025. As a landlocked country, Zimbabwe trades through Beitbridge on the North–South Corridor to South Africa and through Mutare on the Beira Corridor to Mozambique, where one-stop border posts and a dry port at Dondo are being developed to cut transit times.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President and Cabinet (Emmerson Mnangagwa)	Sets national strategy under the second National Development Strategy and Vision 2030; the President is designated under US Global Magnitsky sanctions	Reference point for policy direction; any engagement should be planned with sanctions counsel
Zimbabwe Investment and Development Agency (ZIDA)	National investment agency running the one-stop shop, SEZ administration and the PPP Unit	Standard first point of contact for licensing, incentives and SEZ entry
Ministry of Finance, Economic Development and Investment Promotion	Leads the budget, the IMF Staff-Monitored Programme and the arrears clearance and	Key counterpart on fiscal incentives, PPPs and the debt-normalisation timeline

Actor	Why It Matters	Waverley Engagement Angle
	debt resolution process	
Reserve Bank of Zimbabwe (Governor John Mushayavanhu)	Manages the ZiG, monetary policy and foreign-exchange rules, including export retention	Essential for currency, repatriation and banking matters
Ministry of Mines and Mining Development	Issues mining rights and sets beneficiation policy, including the 2027 lithium concentrate export ban	Central counterpart for gold, PGM and lithium investment
Mutapa Investment Fund	State investment vehicle holding more than 66 entities across mining, energy, infrastructure, agriculture and finance	Potential joint-venture partner, subject to ownership and sanctions screening
Victoria Falls Stock Exchange (ZSE Holdings)	US-dollar exchange attracting listings and capital raising	Route for portfolio entry, listings and exits

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Confederation of Zimbabwe Industries, the Zimbabwe National Chamber of Commerce and the Chamber of Mines of Zimbabwe are the principal business associations, and ZimTrade, the national export promotion agency, supports trade linkages and buyer missions. The annual Zimbabwe International Trade Fair in Bulawayo and Zimbabwe's delegations to the Mining Indaba in Cape Town are useful networking points, and ZIDA holds regular investor engagements. The UK's Department for Business and Trade supports UK–Zimbabwe trade through the British Embassy in Harare. Regional lenders including the African Development Bank and Afreximbank are active, and the World Bank and IMF remain engaged on reforms ahead of arrears clearance, which would expand the role of development-finance institutions.

INVESTOR PROFILE BEST SUITED

Zimbabwe best suits investors with experience of frontier markets and robust compliance processes: mining and processing investors in gold, PGMs and lithium, particularly those able to meet beneficiation requirements; agribusiness investors in tobacco, horticulture and irrigation building on strong export demand; energy investors in solar, captive power and distribution; and logistics, tourism and consumer investors positioned on the Beitbridge and Beira corridors and around Victoria Falls. Portfolio investors can access US-dollar equities through the VFEX. All investors should build sanctions screening into partner selection and favour US-dollar revenue structures, while positioning for the upside that arrears clearance and further normalisation would bring.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage ZIDA and assess SEZ and sector incentives
Use the one-stop shop to secure an investment licence, and compare SEZ terms such as the five-year corporate tax holiday against standard regimes.

STEP 2: Commission sanctions and ownership due diligence
Take US, UK and EU sanctions advice and screen every counterparty, including beneficial ownership, before signing, with particular care in state-linked, fuel and mining transactions.

STEP 3: Design a currency and repatriation structure
Use US-dollar contracts, the export-retention rules and offshore or VFEX structures to manage currency exposure and align with ZIDA Act transfer rights.

STEP 4: Secure power and logistics solutions early
Budget for captive solar or independent supply and plan routes via the Beitbridge and Beira corridors, where border upgrades are under way.

STEP 5: Track the IMF programme and arrears clearance
Monitor reviews of the Staff-Monitored Programme and the debt resolution process, which could unlock development finance and co-investment opportunities.